

US-Iran de-escalation now likely

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【メール原文】

The US and Iran are likely to reach a temporary, unsteady ceasefire to open the Strait of Hormuz. Likely de-escalation between the US and Iran will limit the war's impact on growth and inflation.

Daily Brief

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summary

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The US and Iran are likely to reach a temporary, unsteady ceasefire to open the Strait of Hormuz.

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Likely de-escalation between the US and Iran will limit the war's impact on growth and inflation.

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Despite the improving Iran war outlook and lower oil prices, European gas prices remain high.

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The recent US tariff overhaul hits Brazil hardest, while benefitting the EU, Taiwan, and the UK.

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Regions, countries, and sectors covered in this edition include the US, Brazil, Iran, Zambia, aerospace, energy, climate, resources, geo-technology, and trade.

the top line

MENA Crisis, US, Iran—De-escalation likely as US leans toward temporary fix to open strait

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De-escalation in the Middle East is now likely (60%, up from 25%), as the space for the US to escalate its bombing campaign shrinks.

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The US and Iran are likely to reach a temporary accommodation that includes joint Iran-Omani management of the Strait of Hormuz and an end to the US blockade.

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The arrangement will be unsteady, as the US will resist making additional concessions and Iran will push maximalist demands, suggesting an elevated risk of another flare-up that closes the strait by year's end.

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Read more [here](#) and join our Iran update conference call today at 10 AM ET [here](#) . Reach out to discuss: mena@eurasiagroup.net .

Top Calls—Iran likely de-escalation limits growth and inflation drag

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De-escalation in the Middle East is now likely, bringing oil down to a \$65-75 range.

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France's presidential election still carries a significant probability of a far-right victory that would increase risk premia across the Eurozone.

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Brazil's opposition winning the October election would be the most impactful plausible surprise across the events we cover.

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Read our latest Top Calls here . Reach out to discuss: geoeconomics@eurasiagroup.net .

Chart of the day—European gas prices remain high despite improving Iran situation

The prospect of a new MoU between the US and Iran has lowered our odds of an escalation and seen the oil price fall back towards pre-crisis levels. However, ongoing challenges with nuclear power production due to low river levels across Europe are boosting demand for gas, keeping prices closer to the levels seen at the height of the conflict. This is a further example of the economic disruption posed by weather effects this year, alongside the impact of El Niño that we have previously written about. Reach out to discuss: geoeconomics@eurasiagroup.net .

US, Trade—July tariff overhaul hits Brazil hardest

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Recently imposed forced labor and Brazil tariffs only marginally increase the overall US tariff rate, with Brazil losing the most and the EU, Taiwan, and the UK among the winners.

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For the 16 economies affected, forthcoming overcapacity tariffs will likely restore headline country tariff rates to their levels prior to the Supreme Court ruling on International Emergency Economic Powers Act (IEEPA) tariffs.

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The overcapacity tariffs will likely raise the overall US average effective tariff rate (AETR) from 11.2% to around 12.8%, still well below the 15.5% level prior to the Supreme Court IEEPA ruling.

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Read more here . Reach out to discuss: geoeconomics@eurasiagroup.net .

Brazil—Voters' desire to defeat Lula could erode Bolsonaro's base

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Senator Flavio Bolsonaro's electoral floor sits at roughly 15%-20% of the electorate, setting a high bar for right-wing challengers seeking to displace him.

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Alternative candidates Ronaldo Caiado, Romeu Zema and Renan Santos stand a combined 30% chance of reaching the runoff, with room to grow once the campaign begins.

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Bolsonaro's base could erode if a challenger looks genuinely competitive, as even diehard supporters may defect to a candidate they believe can defeat President Luiz Inacio Lula da Silva.

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Read more here . Reach out to discuss: brazilresearch@eurasiagroup.net .

upcoming conference calls

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5 August 10:00 AM ET—Iran update call. Register here .

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6 August 9:30 AM ET—US political and economic update. Register here .

eg in depth

Geo-technology—Government underfunding will keep Open RAN marginal, benefiting Huawei: The US and a group of allies will continue to push Open Radio Access Network (Open RAN) as an alternative architecture for telecom networks. Nonetheless, Open RAN deployments are likely to remain limited, as governments fail to resource Open RAN sufficiently, limiting testing and commercialization. The modest outlook for Open RAN deployments will continue to discourage market entrants, and Huawei, the current market leader, stands to gain. Read more here . Reach out to discuss: geo-technology@eurasiagroup.net .

Aerospace—South America bets on aviation unity to reshape the market: The South American Air Liberalization agreement, modeled on the EU Single Aviation Market, elevates a South American common aviation market to state policy and aims to bind a fragmented region through regulatory convergence. Signatories will face an uneven rollout, with the first 12 months focused on identifying legal, security, and operational gaps. Over time, expanded eighth and ninth freedom rights will likely intensify competition and potentially help low-cost entrants. Read more here . Reach out to discuss: aerospacedefense@eurasiagroup.net .

Zambia—Hichilema remains favored to win reelection despite opposition momentum: President Hakainde Hichilema is likely to win a second term, with a 70% probability of a first-round victory, supported by opposition fragmentation, incumbency advantages, durable strongholds, and the ruling party's national campaign structure. Main opposition leader Brian Mundubile's late momentum is cutting into Hichilema's support, especially in Copperbelt province, where frustration over living costs and lost informal mining opportunities is resonating, but it is unlikely to force a runoff. Moreover, new constitutional rules that give the president authority to nominate legislators and allocate a number of seats in proportion to the presidential results will likely allow the ruling party to control parliament. Read more here . Reach out to discuss: africa@eurasiagroup.net .

Upcoming events:

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5 August: Data: US ADP employment change; Central bank decisions: Brazil.

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6 August: Events: Tennessee primary elections; Central bank decisions: Czechia and Mexico.

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7 August: Data: China trade and foreign reserves, Germany industrial production, and US unemployment and nonfarm payrolls.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Marilia Sirio, Joseph Craven, Martina Silva, and Trista Kelley, with help from Astral Betteridge and Blaise Hanson.

closing quip

The denuclearisation of Iran is the ultimate deal. The immediate deal, and the one that you've seen a lot of focus on, is the strait."—US Secretary of State Marco Rubio told reporters on Tuesday.

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